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SUBJECT: Credit Assessment & Risk Evaluation - J.B. Hunt

I would lend to J.B. Hunt because even in a severe downside, gross debt/EBITDA peaks near 1.1x and interest coverage stays around 9x. First-half 2026 revenue grew about 12%, and the company has about $973M of undrawn revolver capacity.
Main risks are dividends and buybacks of $1.09 Billion exceeding free cash flow of ~$950 Million in 2025, and revenue decreased 5.79% in 2024 and 0.73% in 2025. In addition, in the severe downside case DSCR was .71x for 2026, which could be a threat to debt repayment since the $700M March 2026 notes can't be repaid from one year of cash flow.
A mitigant for the DSCR concern is up to $700M of committed term loans were arranged to refinance the 2026 notes.
I would reconsider lending if gross debt/EBITDA rises above 1.5x or if the revolver is more than 75% drawn, which would signal that shareholder payouts are being funded with borrowing.

What the company does:

- J.B. Hunt is a transportation, delivery, and logistics company. Its main service offerings are transportation of freight through company drivers and third party carriers.
- The main revenue generating business segments are Intermodal (JBI), Dedicated Contract Services (DCS), Integrated Capacity Solutions (ICS), Final Mile Services (FMS), and Truckload (JBT).
- JBI and DCS generate the most revenue, with a combined $9.375 Billion in revenue for 2025. JBI is the partnership with railroads where they own shipping containers and move them by rail. DCS is dedicated contract services, where a customer signs a contract and J.B. Hunt will provide trucks and drivers for this customer.

Key Concerns:

- Revenue from 2023 to 2025 has decreased, with a 5.8% drop in 2024 and a 0.7% drop in 2025. First half 2026 revenue has grown 12% however.
- Third parties are a major part of operations in the business, especially rail service providers, third party carriers and transportation equipment manufacturers. If these third parties choose a different company, a big portion of revenue for J.B. Hunt would get removed.
- Rapid Changes in fuel costs could hurt financial results. Since transportation is a major part of business, increasing gas prices is another expense that needs to be paid, causing more cash flow from operations to be used on this part of the business. They cannot predict the volatility of fuel prices and how much fuel surcharges can be collected to offset this cost.

Key Strengths:

- Interest coverage ratio is over 10 across all 3 historical years from 2023-2025.
- J.B. Hunt also has a revolving line of credit of 1 Billion dollars under a 5-year term expiring in 2030 to support any liquidity concerns with ongoing and upcoming debt.
- Gross debt/EBITDA across all 3 years is about 0.9x, meaning it would take roughly 0.9 years of the company's operating earnings to repay all of its debt.

Concerns for Lenders:

- Operating income fell sharply in 2024 and partially recovered in 2025. Cash has also decreased from 2023-2025.
- The current portion of debt has also increased, requiring more urgent addressing of payment or refinancing. This refinancing is set up with a $700 million committed term loan that is paying off a $700 million senior note. Leverage is low, but it isn't improving.
- Buybacks and dividends are exceeding free cash flow in 2025.

Debt and Liquidity

- Total of $1.476 billion of debt, with $700 million due in 2026. 700M of committed term loans to refinance the $700 million debt due in 2026. $990 million of liquidity in 2025, with $973.2 million in undrawn revolver. ~$950 million of free cash flow in 2025, with $17 million of cash and equivalents as well.
- $1 Billion total revolver, $26.8 Million drawn as of 2025
- $750 million senior notes at 4.90% due 2030, $700 million senior notes at 3.875% due 2026.

Projections and Assumptions

- 6% revenue growth 2026 forecast, with a 4% revenue growth for 2027 and 2028 to simulate a recovery in revenue. 12% revenue growth first half 2026, so 6% is conservative assuming no growth happens second half
- 7.5% operating margin in 2026 fading to 7.28% to represent that in a cyclical business, margins tend to drift towards the average level.The 7.28% is an average of 2023-2025 historical margins.
- I used a rounded tax rate of 24.7% from 2025's 24.66% and used this as the forecast tax rate. I chose this to keep the tax rate consistent with the most recent year, and to allow for a comparison of future years to the most recent 10-k filing.
- CapEx as a % of revenue is 7% for forecast years. I chose this as it was slightly above the ~6% rate for 2025, but because revenue in my forecast is recovering and growing and J.B. Hunt has lots of physical PP&E I assumed CapEx would increase to roughly keep up with increasing revenue.

Severe Downside Case

- I chose a revenue growth of 4% for 2026, -8% for 2027, and a -2% for 2028. I chose these numbers to stress test the company and see how their ratios react. 4% for 2026 was

still showing a moderate improvement from 2025, especially considering first half 2026 revenue growth was already 12%. -8% is the main stressor in 2027, simulating a major drop in business, chosen to be a number below historical lows of revenue growth (from 2025 10-k). -2% in 2028 shows a slowing of the decline, but still a decrease in revenue.

- Because of the decreases in revenue growth, I lowered operating income margins to 7% for 2026 and 6% for 2027-2028 to represent that certain operating expenses,
- While Leverage ratio did increase, and interest coverage decreased, interest coverage at its lowest was 9x and leverage ratio was barely above 1x at 1.09x, showing J.B. Hunt can cover its expenses well even in a downturn with these ratios, although there is more nuance explained above